Index Guideline

NaroIX EUR Aggregate 1-5 Year Bond Index

NAROIX

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INTRODUCTION

This document sets out the methodology and rules for the composition, calculation, and ongoing maintenance of the NaroIX EUR Aggregate 1-3 Year Bond Index. Any amendments to these rules are subject to approval by the oversight committee described in Section 10.4.

NaroIX endeavours to comply with all applicable regulations, including the provisions of the NaroIX Index Methodology Policy and Regulation (EU) 2016/1011 on indices used as benchmarks in financial instruments and contracts (the “Benchmark Regulation” or “BMR”). While every effort is made to ensure accurate calculation and publication, NaroIX provides no guarantee or assurance, explicit or implicit, regarding the results derived from the use of the index, its value at any point in time, or any other aspect of its performance.

ABOUT THE INDEX

The NaroIX EUR Aggregate 1–3 Year Low Volatility Bond Index is designed to measure the performance of a diversified portfolio of EUR-denominated investment-grade fixed income securities, with a strong focus on liquidity, transparency, and efficient ETF replicability. The Index provides broad exposure to investment-grade sovereign and corporate bonds issued in EUR, while maintaining a strict short-maturity (1–3 year) profile to limit interest-rate sensitivity. Securitized instruments are excluded. The primary index version is calculated as a Total Return Index, with additional variants including Price Return (and, where applicable, currency-hedged variants for non-EUR share classes).

1 VERSION HISTORY

Version	Editor	Date	Change
1.0	Head of Fixed Income	20.02.2026	Index Guideline Creation

2 DEFINITIONS

Accrued Interest is interest earned but not yet paid between the last coupon date and the next coupon payment date**.**

Amount Outstanding is the total face value (or principal) of the bond currently in circulation.

AT1 bonds (Additional Tier 1) is a form of "contingent-convertible" (Coco) bonds used by banks to meet regulatory capital requirements.

Bond Maturity: The date when the issuer pays the bond's principal and last coupon payment.

Bullet Bond: A non-callable bond that repays full principal and interest at maturity.

Benchmark Regulation (BMR) is a European Union regulation that aims to ensure the integrity and reliability of benchmarks used in financial markets.

Business Day: Any day other than weekends or holidays, can be different for each market.

Buyback: When an issuer repurchases its own bonds from the secondary market. Buybacks reduce the outstanding debt and can affect market price and yield.

Call Date: The first date on which an issuer may redeem a bond at a predetermined price.

Call Option: A feature embedded in a bond that allows the issuer to redeem it before maturity under specific conditions. (It is issuer's right to exercise)

Callable Bond: A bond with a call option that allows the issuer to redeem it early, usually at face value. Callable bonds carry reinvestment risk for investors.

Capitalization Rate: The rate at which a bond's principal increases when coupon payments are converted into additional capital to pay at the maturity. (opposite of sinking rate)

Capitalizing Bonds: Bonds in which a portion of coupon payments is added to principal rather than paid in cash, increasing the total outstanding amount.

CDOs (Collateralized Debt Obligations): Structured financial products backed by pools of loans or other assets.

CLOs(Collateralized Loan Obligations): Type of CDO backed specifically by loans.

Clean Price: The market price of a bond excluding accrued interest.

Contingent Convertible (CoCo) Securities: Bonds that convert into equity or are written down if a specific trigger event occurs, often used by banks to meet regulatory capital requirements.

Convertible Bonds: Bonds that can be converted into equity of the issuer or an equivalent amount of cash under specific conditions.

Corporate Actions: Unscheduled events affecting a bond, such as calls, puts, buybacks, exchanges, or consent solicitations, outside of regular coupon payments and sink payments.

Country of Domicile: The country in which the issuer is legally registered.

Country of Risk: The country where the majority of the bond's default or credit risk originates.

Coupon: The periodic interest payment made to the bondholder, usually expressed as a percentage of the face value.

Coupon Payment Frequency: How often coupon payments are made, such as annually, semiannually, or quarterly.

Covered Bonds: Bonds secured by assets on the issuer's balance sheet. Unlike securitized bonds, the risk of the underlying assets is not transferred to investors.

Currency: The denomination in which the bond's principal and coupon payments are made.

Default Corporate Action: Occurs when the issuer fails to pay scheduled interest or principal within the grace period.

Default Outcome: The resolution of a default, which may include partial or full repayment in cash or other financial instruments.

Discount Bond: A bond that is sold/issued less than its face(par) value.

Distressed Debt Exchange Offer: A debt exchange in which bondholders agree to reduce principal in exchange for higher-priority or secured claims.

Dual Currency Bond: A bond which has two different currencies to make the interest and principal payments.

Early Redemption: Any event that results in the repayment of a bond before its scheduled maturity.

End-of-Day (EoD) calculation typically refers to the process of determining the final value or position of a financial instrument at the close of the trading day.

ESG-Sensitive Bonds: Type of step-up/down bonds that the coupon rate may change if the issuer's ESG score changes during the term of the bond.

Event of Default: Occurs when the issuer fails to meet a payment obligation within the grace period.

Event Effective Date: The date on which a corporate action or other event takes effect.

Exchange Offer: An offer allowing bondholders to exchange existing bonds for new securities or cash.

Exchange-Traded Notes (ETNs): Debt instruments that do not pay periodic coupons but pay the total return at maturity. They are issued by a bank or by a special purpose entity(SPE) and backed by the credit of the issuer or sometimes collateral.

Ex-Dividend Date: The date when a bond begins trading without the right to the upcoming coupon payment.

Ex-Dividend Period: The period leading up to the coupon payment date during which the coupon is separated from the bond.

Extendible Bond: A bond that allows the holder to extend its maturity beyond the original date.

Face Value (Par Value): The bond's stated principal amount, typically $100 or $1,000, which is repaid at maturity.

Fixed-Rate Coupon: A coupon rate that remains constant throughout the life of the bond.

Floating Rate Note (FRN): A bond with variable interest payments linked to a benchmark rate.

Grace Period: The period after a missed coupon or principal payment during which the issuer can still meet obligations without defaulting.

Index Component is each security that is included in the index.

Index Currency is the currency in which the value of the index is expressed. It serves as the benchmark currency for measuring the performance of the assets included in the index.

Index Requirements specific criteria or characteristics that an index must meet to be considered effective and valuable for its intended purpose. The Index Requirements are mentioned in section 4.2

Index Universe pool of securities that are eligible to be included in the index. It represents the potential components from which the index's constituents are selected.

Inflation-Linked Bond: A bond whose principal or interest payments are adjusted based on an inflation index.

Investment Grade (IG) Bond: Bonds rated BBB-/Baa3 or higher by major credit rating agencies (e.g., S&P, Moody's). These bonds are considered to have lower credit risk and typically offer lower yields compared to lower-rated bonds.

Issue Date: The date when a bond is officially issued or settles in the market.

Issuer (Borrower): The organization that issues bonds to raise capital for business or investment activities.

LRCN (Limited Recourse Capital Note): A type of Canadian CoCo bond with very long maturity (often 60+ years) and limited recourse features.

Make-Whole Call: A call provision where the issuer pays the bondholder principal plus discounted future interest to mitigate reinvestment risk. This type of call usually has higher than regular call options since the issuer has to compensate for the future interest as well.

Maple Bond: A bond denominated in Canadian dollars issued by a foreign entity.

Maturity: The date on which a bond's principal and final interest are repaid.

NVCC Bonds (Non-Viability Contingent Convertible): Canadian CoCo bonds that convert into equity upon a regulatory trigger event.

Payment-In-Kind Bonds: Type of bonds that pay interest by issuing additional bonds rather than in cash.

Perpetual Bond: A bond with no maturity date, paying coupons indefinitely.

Private Placement: A security sold directly to a select group of institutional investors instead of the public.

Putable Bond: A bond that allows investors to sell it back to the issuer before maturity. (It is investor's right to exercise the option)

Rating Sensitive Bonds: Type of step-up/down bonds that the coupon rate may change if the issuer's rating changes during the term of the bond.

Rebalancing Day is the specific day on which the index is adjusted to restore its target weights or allocations. This process involves buying or selling securities to bring the portfolio back in line with its predetermined asset allocation.

Reconstitution Day is the same as Rebalancing Day.

Reg S Bonds: Bonds issued for non-US investors.

Reopening: Issuance of additional amounts of a previously issued bond.

Securitized Bonds: Bonds that are backed by a pool of assets where credit risk is transferred to the bond holder. That means bond holders carry the default risk of underlying assets.

Selection Day refers to the specific day on which the constituents of the index are selected.

Sinkable Bonds: Bonds with a sinking fund that repurchases portions of the issue over time, means paying principal and coupon payments during the life of the bonds instead of paying one principal payment at maturity.

Step-Up/Down Coupon Bond: A bond with coupon payments that increase/decrease at predetermined intervals.

Technical Default: A missed payment that occurs during the grace period but before formal default is declared.

Tender Offer: An offer by the issuer to repurchase bonds from holders at a specific price before maturity. Unlike call option, this gives bond holders the right to accept the offer or still keep the bond instead of selling back to the issuer.

Trading Day refers, for an index component on a given trading day, to the most recent published price at which that component was traded on its respective exchange. Trading days typically exclude weekends and holidays.

Treasury Bills (Bills or T-bills): Short-term debt securities with a maturity of one year or less.

Zero-Coupon Bonds: Specific kind of discount bond that pays no periodic interest, only principal at maturity.

144(a) Bonds : Privately placed bonds in the US available only to qualified US institutional investors under rule 144A.

3 INDEX SPECIFICATIONS

The index is calculated, administered, and published by NaroIX GmbH ("NaroIX").

3.1 GENERAL INFORMATION

The Index is determined through two distinct calculation methods: Price Return (PR) and Total Return (TR). The index is published in EUR.

Category	Description
Asset Class	Fixed Income
Regional Allocation	Global
Currency	EUR
Rebalancing Frequency	Monthly
Weighting Scheme	Market Value Weighted
Target Duration	To reduce rate sensitivity, exposure to bonds with remaining maturity >3 years is capped at 30% and index duration is targeted at ~3 years.
Weighting Cap / Floor	Government Bonds 60%, Corporates 30%, Others (Supranational, Agency and Government Related) 10%
Minimum Size	Amount Outstanding minimum of 300,000,000 EUR
Minimum Liquidity	Index components must have a reliable evaluated price available as of the Selection Day

3.2 INDEX CALCULATION DAYS

Index Calculation Days are business days, Monday to Friday. A day is considered to be a Business Day if at least one of the exchanges considered in the Index is open for trading.

3.3 INDEX CALCULATION

The official index closing level is calculated once, each Business Day (EoD calculation) and based on the evaluated prices. Trading Prices of Index Components not listed in the index currency are converted using the 04:00 pm London time WMR Closing Spot Rates, provided by WM/Refinitiv.

Calculated in EUR; hedged variants available with systematic 100% one-month forward hedge rolled monthly.

3.4 PUBLICATION

All specifications and information relevant to calculating the Index are made available on the https://www.naroiq.com/indices web page and sub-pages.

4 INDEX SELECTION AND CONSTRUCTION

On each Selection Day, the eligibility methodology as defined in this Section 4 determines the Index Universe. In a first step, the Index Universe is established in accordance with Section 4.1 and comprises all financial instruments that fulfill the eligibility requirements defined in this Section. This Index Universe constitutes the starting pool from which the components of the Index will be selected.

The process is entirely rules-based, ensuring that all eligible companies are identified in a consistent and repeatable manner. The determination of eligibility is based exclusively on publicly available and verifiable information, including audited financial statements, annual reports, regulatory filings, official company communications, patent and research databases, and reputable third-party data sources. The assessment process applies the same methodology, the same data cut-off dates, and is performed without discretionary judgement, thereby ensuring consistency and comparability across all constituents.

4.1 INDEX UNIVERSE DEFINITION

The Index Universe for the NaroIX EUR Aggregate 1-3 Year Bond Index consists of fixed income instruments that meet all eligibility criteria defined in Section 4.2

Companies that do not meet all requirements on a Selection Day are excluded from the Index Universe until they again satisfy all requirements at a subsequent review date. No discretionary inclusion or exclusion is permitted outside of the rules described in this methodology.

4.2 INVESTABLE UNIVERSE CRITERIA

Criteria	Investable Universe Criteria
Asset Class	Fixed Income
Regional Allocation	Global
Minimum Size	Amount Outstanding minimum of 300,000,000 EUR
Minimum Liquidity	Index components must have a reliable evaluated price available as of the Selection Day

Screening Framework	1. **Eligible:** Sovereigns, supranationals, agencies, government-related entities, corporate bonds 2. **Included:** Fixed rate and zero coupon bonds, callable fixed to floating rate bonds are only eligible during fixed term, callable, sinkable, putable bonds, covered bonds 3. **Excluded:** The following instruments are excluded due to structural characteristics that may impair liquidity, transparency, replicability, or volatility control => MBS, ABS, CMBS, Inflation-linked bonds, CoCos, Floating Bonds, Municipal Bonds, Private Placements not 144A, Perpetual Bonds, Step up/down bonds, Any type of linked bonds and bonds with equity types (convertibles, preferreds, warrants etc), CDOs, TBAs, CoDs, Loan Participation Notes, Dual Currency Bonds, Pass-through Certificates, Money Market Instruments, Bill and Discount notes, Commercial Papers, Extendable Bonds 4. In case bonds are issued in different formats, the RegS bonds will be preferred over 144A. 5. Bonds that will convert to floating rate will be excluded one year prior to reset day. 6. Minimum time to maturity of 1 year and maximum time to maturity of 5 years 7. Bonds with announced calls will be excluded during rebalance. 8. Ratings sourced from S&P and Fitch a. If both ratings available => lower of the two is used b. If only one rating available => that rating is used c. Securities downgraded will be removed at next rebalance

4.4 CONSTITUENT SELECTION

Based on the Index Universe, the composition of the Index as well as any selection for an ordinary rebalance is determined on the Selection Day in accordance with the index requirements in Section 4.3.

Criteria	Index Requirements
Frequency	Monthly
Selection Day	3 Business Days before the scheduled Rebalance Day
Rebalancing Day	Last Business Day of the month

The data used to reconstitute and rebalance the index is as of the close of the “Selection Day”. Subsequent adjustments to the index composition will not be made to account for corporate actions that occur between the Selection Day and the Reconstitution Day or Rebalancing Day.

4.5 WEIGHTING OF THE INDEX COMPONENTS

Criteria	Requirements
Weighting Scheme	Market Value Weighted
Max. Weighting Cap	Government Bonds 60%, Corporates 30%, Others (Supranational, Agency and Government Related) 10%
Max Duration	Target duration is 3 years
Long Maturity Exposure	Securities with a remaining maturity greater than 3 years are capped at 30%

On Selection Day, each component of the index is initially weighted proportionally to its market value. The following caps and restrictions are then applied:

- Excess weight from components exceeding the cap rules are redistributed proportionally based on market value among components still below the threshold.
- This process is repeated iteratively until no component exceeds the desired cap levels.

5 REBALANCING SCHEDULE

5.1 ORDINARY REBALANCING

The Index will undergo a monthly rebalancing. This process involves adjusting the shares according to the weights established on the Fixing Day (Selection Day). Any corporate actions that occur between the Selection Day and the Rebalancing Day will not be taken into account.

In the event that any current or new index components are not available for trading on Reconstitution Day or Rebalancing Day due to an exchange holiday, the rebalancing will be postponed to the next possible business day.

5.2 EXTRAORDINARY REBALANCING

Extraordinary rebalancings will not be made.

6 CALCULATION ACCURACY

The index level is rounded to two decimal places.

7 INDEX ADJUSTMENTS

The value of an index can be influenced by many events. In the following, events are mentioned that NaroIX considers as corporate actions, relevant for index maintenance. The detailed handling of corporate actions can be found in the NaroIX Corporate Actions Guide on the NaroIX website at https://www.naroiq.com/governance.

7.1 ORDINARY CORPORATE ACTIONS

NaroIX considers the following ordinary corporate actions as relevant for the index maintenance:

- **Redemption** (Full Call, Full Tender, Buyback)
- **Put Offer**
- **Exchange Offer** (Exchange offers and ID Changes)
- **Default** (when the issuer fails to pay scheduled interest or principal within the grace period)
- **Default Recovery**
- **Consolidation** (event where fungible bond is merged into an existing bond issue)
- **Conversion** (when a convertible or exchangeable bond is converted into equity)

8 RECALCULATION

NaroIX endeavors at all times to provide its indices to the fullest satisfaction of all stakeholders. Nevertheless, it cannot be ruled out that certain errors may occur in the index creation process that require corrective action.

The possible errors and the time frame in which they are corrected by NaroIX can be found in the NaroIX Index Correction & Termination Policy on the NaroIX website at https://www.naroiq.com/governance.

9 MARKET DISRUPTION

In times of market stress that may lead to inaccurate market prices, delayed data inputs, illiquid constituents or fragmented markets, NaroIX calculates its indices according to predefined procedures. The detailed procedure in the event of market disruptions can be found in the NaroIX Index Correction & Termination Policy on the NaroIX website at https://www.naroiq.com/governance.

10 INDEX GOVERNANCE AND OTHER

10.1 METHODOLOGY REVIEW

The index methodology is checked annually for changes and adapted if necessary. Changes may be necessary, for example, if assumptions made at the beginning are no longer valid because economic conditions have changed.

Changes are always made in accordance with the Index Policy. The changes will be published under https://naroiq.com/announcements on the NaroIX website.

10.2 CHANGES IN CALCULATION METHOD

NaroIX has the final authority on how to calculate the Index, using the method described in this document. While they will typically follow this method, they may need to make adjustments due to changes in the market, regulations, or other factors. NaroIX may also modify the terms and conditions of the Index or the calculation method to correct errors or improve the Index. However, they are not obligated to notify others about these changes. Even with modifications, NaroIX will ensure that the calculation method remains consistent with the original method.

10.3 TERMINATION OF THE INDEX

NaroIX endeavors at all times to provide its indices to the fullest satisfaction of all stakeholders. Nevertheless, it cannot be ruled out that situations may arise that require the index to be terminated.

This includes, among others:

- Insufficient number of users
- Regulatory changes that no longer allow index provision
- Multiple indices that have similar/same index concepts

10.4 OVERSIGHT FUNCTION

The NaroIX Oversight Function is responsible for supervising all aspects of the benchmarks administered by NaroIX. This includes receiving updates from relevant internal bodies.

10.5 Risk Classification Monitoring

The realised volatility of the Index is monitored on an ongoing basis using weekly total return data. If the projected risk profile indicates the Index may exceed **PRIIPs SRI 2**, index parameters (including duration limits, maturity constraints, credit-quality rules, or exposure caps)

may be adjusted in accordance with the methodology to preserve the intended risk classification.

11 DISCLAIMER

The information contained in this index guideline is provided for informational purposes only and does not constitute investment advice. NaroIX makes no representation or warranty, express or implied, as to the accuracy, completeness, or timeliness of the data and analyses provided herein.

The NaroIX Index and the underlying data are the intellectual property of NaroIX and are protected by copyright and other intellectual property laws. NaroIX reserves all rights to the Index and the related data. Without the prior written consent of NaroIX, it is prohibited to copy, reproduce, distribute or otherwise use the Index or any part thereof.

Past performance is not indicative of future results. The value of the NaroIX Index may fluctuate and decline. An investment in securities that track the index is subject to risks.

For more information visit:

https://www.naroiq.com/governance

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